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MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-BBA (HONOURS) REGULAR/IMPROVEMENTIREAPPEARANCE EXAMINATION NOVEMBER 2025

FIRST SEMESTER

Core Course (CC) - MG1CCRBBA101 -FINANCIAL ACCOUNTING

(2024 ADMISSION ONWARDS)

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability**.**

Duration: 2 Hours **Maximum Marks: 70 Marks**

Part A

Short Answer Type Questions

Answer any 5 out of 8 Questions Each Question carries 2 marks

Q1. Asset = Equity

Asset=Capital+ Liability

		Asset = Equity			
Transaction	**Creditors**	**Capital**	**Cash**	**Machinery**	**Goods**
Commenced business with ₹40,000 cash.		40000	40000		
		40000	40000		
Purchased machinery for ₹18,000.			-18000	18000	
		40000	22000	18000	
Purchased goods on credit for ₹13,000.	13000				13000
	13000	40000	22000	18000	13000
Sold goods costing ₹7,000 for ₹9,000 cash.		2000	9000		-7000
	13000	42000	31000	18000	6000
		55000	**55000**		

Q2 Why is it important to classify expenses as capital or revenue?

a) Correct presentation in financial statements.
b) Accurate calculation of profit or loss.
c) Proper valuation of assets.
d) Correct calculation of depreciation.
e) Helps avoid manipulation of profits.
f) Ensures compliance with accounting principles/standards.
g) Improves decision-making for management.
h) Ensures comparison of financial performance across years.
i) Helps in tax computation (different tax treatments).
j) Maintains clarity and transparency in accounting records.

Hint: Consider any two points,award maximum marks.

Q3 Name two types of share capital.

a) Authorised (Nominal) Share Capital
b) Issued Share Capital
c) Subscribed Share Capital
d) Called-up Share Capital

e) Paid-up Share Capital
f) Uncalled Share Capital
g) Reserve Share Capital

Q4. What is the significance of Notes to Accounts for decision makers?

a) Provide additional explanations that are not shown in the main financial statements.
b) Clarify accounting policies used (depreciation, valuation, inventory methods, etc.).
c) Improve transparency of financial reporting.
d) Help assess financial health by explaining contingent liabilities, commitments, etc.
Hint: Consider any two points, award maximum marks.

Q5 Give the importance of the Sales Return Day Book.

a) Records all goods returned by customers in one place.
b) Helps maintain accurate sales figures by reducing total sales.
c) Prevents errors by keeping systematic records of returns.
d) Helps detect customer complaints and quality issues in products.
e) Makes posting to ledger easier, as all returns are summarised.
f) Assists in preparing financial statements with correct net sales.
g) Useful for internal control and monitoring return patterns
Consider any two relevant points.

Q6 Relate the trial balance to the overall accounting cycle and its importance in ensuring accuracy.

a) Checks mathematical correctness of debit and credit totals.
b) Helps detect ledger errors such as wrong posting, wrong totals, or double entry mistakes.
c) Ensures reliability of financial statements by confirming that books are balanced.
d) Improves efficiency – Saves time in preparing final accounts by ensuring ledgers are accurate early.
e) Enhances internal control – Acts as a control tool to regularly monitor the accounting system.
f) Provides a summary of all ledger balances, useful for decision-making and review.

Q7 Explain the term *Real Account*. Illustrate with an example.

A Real Account is an account that records transactions related to assets and properties owned by the business.

These accounts carry forward their balances to the next accounting year and are not closed at year-end.

Golden Rule:

"Debit what comes in, Credit what goes out."

Example

Cash Account is a real account.

- When cash comes into the business → Cash A/c is debited
- When cash goes out → Cash A/c is credited

Other examples: Furniture A/c, Machinery A/c, Building A/c, Land A/c, Equipment A/c.

Q8.What do you understand by provision for discount on debtors?

Provision for Discount on Debtors is an amount set aside by a business to cover the expected discount allowed to customers (debtors) for making early payments.

Key Points:

1. It is created on good debtors (after deducting bad debts and provision for doubtful debts).
2. It is an estimated expense of the current year.
3. It reduces the value of receivables shown in the balance sheet.
4. It ensures true and fair profit calculation, as expected future discounts are provided in advance.

Award 2 marks for correct meaning. No need of explanation.

PART B

Short Essay Type Questions (5 Marks Each)

Answer any 4 out of 6

Q9 Summarise the accounting conventions related to accounting principles.

1.Convention of Conservatism (Prudence)

Record *anticipated losses* but *not anticipated profits*.

Ensures financial statements are not overstated.

2.Convention of Consistency

Same accounting methods should be followed every year.

Helps in comparison of financial results over time.

3.Convention of Full Disclosure

All relevant and material information must be disclosed clearly.

Ensures transparency for users of financial statements.

4.Convention of Materiality

Only important (material) items need detailed disclosure.

Small or insignificant items can be recorded in a simpler way.

5.Convention of Objectivity

All transactions should be supported by verifiable evidence (bills, invoices, vouchers).

Ensures reliability and accuracy of accounts.

Q10 Explain the qualitative aspects of financial accounting.

a) Relevance – Information must help in decision-making.
b) Reliability – Information should be accurate and dependable.
c) Comparability – Enables comparison across years and with other firms.
d) Consistency – Same accounting methods used every year.
e) Understandability – Information should be clear and easy to interpret.
f) Materiality – Important items must be disclosed properly.
g) Neutrality – Information must be unbiased.
h) Faithful Representation – Shows true financial position.
i) Timeliness – Information should be available on time.
j) Verifiability – Supported by proper documents.

Consider any four to five points, award maximum marks with right explanation

Q11 Explain the benefits and limitations of Green Accounting.

Benefits of Green Accounting(2.5 marks)

a) Identifies environmental costs and helps organisations understand the financial impact of pollution and resource use.
b) Improves decision-making by showing the true cost of business activities on the environment.
c) Promotes sustainable development by encouraging eco-friendly practices.
d) Enhances corporate image and reputation among environmentally conscious customers.
e) Supports compliance with environmental laws and regulations.
f) Helps in long-term planning by evaluating environmental risks and resource depletion.
g) Encourages efficient use of resources, reducing waste and costs.

Limitations of Green Accounting (2.5 marks)

Lack of standard guidelines makes measurement and reporting inconsistent.

a) Difficult to assign monetary value to environmental benefits and damages.
b) High cost of data collection and monitoring environmental impact.
c) Complex and time-consuming to implement in organisations.
d) Lack of awareness among businesses and accountants.
e) Environmental impacts are often intangible, making calculation subjective.

f) Not mandatory in many countries, so adoption is limited.

Consider relevant points from the above hints.

Q12 Identify and explain the two main categories of expenses that should appear in the Income Statement as per the Companies Act, 2013.

1. Operating Expenses (2.5 marks)

These are expenses directly related to the main business operations and necessary for running the day-to-day activities.

Examples:

- Cost of Materials Consumed
- Purchase of Stock-in-Trade
- Changes in Inventories
- Employee Benefit Expenses
- Finance Costs
- Depreciation & Amortisation
- Other Operating Expenses (rent, power, repairs, admin expenses)

2. Non-Operating Expenses (2.5 marks)

These are expenses not directly related to core business operations, but arise due to financing, investing, or incidental activities.

Examples:

- Loss on sale of assets
- Interest paid on borrowings not related to operations
- Foreign exchange loss
- Exceptional items
- Extraordinary items (if any)

Q13. Illustrate the process of posting entries to different types of ledgers such as sales, purchases, and general ledgers.

1. Posting to the Sales Ledger (Debtors Ledger)

To record amounts owed by each customer.

Steps:

1. When goods are sold on credit, debit the customer's account in the Sales Ledger.
2. Enter the amount, date, and journal/ invoice reference.
3. In the General Ledger, post the corresponding credit to Sales A/c.
4. When customer makes payment:
    - Credit the customer's account.
    - Debit Cash/Bank in the General Ledger.

Example:

Credit sale to Ramesh →

- Sales Ledger: Ramesh A/c Dr
- General Ledger: To Sales A/c

2. Posting to the Purchases Ledger (Creditors Ledger)

To record amounts payable to suppliers.

Steps:

1. When goods are purchased on credit, credit the supplier's account in the Purchases Ledger.
2. Enter amount, date, and purchase voucher reference.
3. In the General Ledger, record debit to Purchases A/c or relevant expense.
4. When paying the supplier:
    - Debit the supplier's account.
    - Credit Cash/Bank in the General Ledger.

Example:

Credit purchase from Kumar Traders →

- Purchases Ledger: Kumar Traders A/c Cr
- General Ledger: Purchases A/c Dr

3. Posting to the General Ledger

To summarise all accounts related to assets, liabilities, income, and expenses.

Steps:

1. Take journal entries and post to the respective ledger accounts.
2. Debit the account mentioned on the debit side of the journal.
3. Credit the account mentioned on the credit side of the journal.
4. Cross-reference each entry with the journal page.
5. Balance each account at the end of the period to prepare the Trial Balance.

Consider an example with solution may award maximum marks.

Q14 Given the following data, calculate:

Cost of Goods Sold (COGS)

Formula:

Cost of Goods Sold = Opening Stock + Net Purchases + Factory Expenses – Closing Stock

= 18,500 + 1,30,000 + 10,500 – 36,000

= 1,59,000 – 36,000

= ₹1,23,000

(ii) Gross Profit

Formula:

Gross Profit = Net Sales – COGS

= 2,46,000 – 1,23,000

= ₹1,23,000

(iii) Operating Profit

Operating Expenses = Sales Promotion + Admin Expenses

= 33,800 + 24,900

= 58,700

Formula:

Operating Profit = Gross Profit – Operating Expenses

= 1,23,000 – 58,700

= ₹64,300

- Cost of goods Sold = ₹1,23,000
- Gross Profit = ₹1,23,000
- Operating Profit = ₹64,300

PART C

Essay Type Questions (20 Marks Each)

Answer any 2 out of 4

Q15. Describe the term *Accounting*. Explain the advantages and disadvantages of accounting.

"Accounting is the art of recording, classifying, and summarizing in a significant manner and in terms of money, transactions and events which are, in part at least, of a financial character, and interpreting the results thereof." (4 marks)

Advantages of Accounting (8 marks)

1. Systematic Record Keeping – Maintains organized records of all financial transactions.
2. Helps in Decision-Making – Provides financial data for management, investors, and creditors.
3. Assists in Profit Calculation – Helps determine profit or loss over a period.
4. Facilitates Legal Compliance – Ensures adherence to tax laws and regulations.
5. Aids in Financial Control – Helps detect fraud, errors, and misuse of resources.
6. Supports Planning and Budgeting – Useful for forecasting and resource allocation.

7. Provides Information for Investment – Helps investors evaluate the financial health of a business.

Disadvantages of Accounting (8 marks)

1. Ignores Non-Monetary Aspects – Cannot measure employee satisfaction or goodwill.
2. Historical Nature – Mostly records past transactions; may not reflect present conditions.
3. Possibility of Errors or Fraud – Mistakes or manipulation can distort information.
4. Costly Process – Requires skilled accountants, software, and record-keeping resources.
5. Complexity – Understanding accounting records can be difficult for non-accountants.
6. Not Always Perfect for Decision-Making – Estimates and assumptions can affect accuracy.

Q16.Prepare a Two-Column Cash Book (Cash & Bank) using the given transactions and determine the closing balances.

CASHBOOK WITH BANK COLUMN

Date	Reciepts	RN	LF	Cash	Bank	Date	Payments	VN	LF	Cash	Bank
1-Jun	To Balance B/d			42500	29500	3-Jun	By Purchases			16500	
9-Jun	To Nithin			9000		6-Jun	ByMotor expences			950	
	To Cash	C			10000	12-Jun	By bank	C		10000	
	To Sales			25900		18-Jun	By Tools				12000
	Tp Bank	C		6400			By cash	C			6400
							By Salary			7300	
							By Balance C/d			49050	21100
				83800	39500					83800	39500

Q17 Outline the steps involved in recording a journal entry from source documents to ledger posting.

A. Identify the Transaction

Examine the source document (invoice, bill, receipt, payment voucher) to determine the nature of the transaction.

B. Determine Accounts Affected

Identify which accounts are to be debited and credited.

C. Apply the Golden Rules of Accounting:

Personal Accounts: Debit the receiver, Credit the giver

Real Accounts: Debit what comes in, Credit what goes out

Nominal Accounts: Debit all expenses and losses, Credit all incomes and gains

D. Prepare the Journal Entry

Record the transaction in the Journal (Book of Original Entry) in chronological order.

Include date, accounts to be debited and credited, amount, and brief narration.

E. Cross-Check for Accuracy

Ensure debit = credit.

F. Verify amounts and account names.

G. Post to Ledger Accounts

Transfer the debit and credit amounts from the journal to the respective Ledger Accounts (General Ledger, Sales Ledger, Purchases Ledger).

H. Maintain proper references (journal page number and ledger folio) for tracing.

I. Balance the Ledger Accounts

After posting all entries, calculate the balance of each ledger account for preparation of the Trial Balance.

Q18 .

Trading and Profit and Loss account fr the year ending as on 31st March 2019

Particulars	Amount (Rs.)	Particulars	Amount (Rs.)
To Opening Stock	17,500	By Sales	107,500
To Purchases	59,800	By Closing Stock	25,900
To Wages	7,900		
To Carriage Inward	1,400		
To Gross Profit c/d	**46,800**		
Total	**133,400**	**Total**	**133,400**
To Salaries	12,700	By Gross Profit b/d	47,800
To Stationery	650	By Discount received	2,100
To Carriage Outward	1,100	By Accrued Income	850
To Depreciation on Machinery	1,730		
To Net Profit (transferred to Capital A/c)	**33,570**		
Total	**49,750**	**Total**	**49,750**

10 marks

Balance sheet as on 31 st march 2019

Liabilities		Amount (Rs.)	Assets		Amount (Rs.)
Capital	68000		Land and Buildings		26,750
Add: Net Profit	34570		Machinery	17300	
		101,570	Less: Depreciation	-1730	
Sundry Creditors		21,600			**15,570**
Bills Payable		4,800	Furniture		29,500
			Sundry Debtors		23,600
			Bills Receivable		3,700
			Cash in hand		2,100
			Closing Stock		25,900
-			Accrued Income		850
	Total	**127,970**		**Total**	**127,970**

Answer key **PART A**			
Questions	**Course Outcome (CO)**	**Mark Split**	**Keys**
1	**CO1**	CO1 = **2**	Marks are likely allocated for identifying the two affected accounts and the correct impact (increase/decrease) on the accounting equation (Assets = Liabilities + Capital). 1 mark for stating the core definition or a single correct point. 1 mark for providing relevant details, importance, or a clear example/illustration. If two points are requested (e.g., Q3: two types of share capital), usually 1 mark is allocated per correct point.
2	**CO1**	CO1 = **3**	
3	**CO2**	CO2 = **2**	
4	**CO2**	CO1 =2	
5	**CO3, CO4**	CO3 = **1**, CO4 = **1**	
6	**CO3, CO4**	CO3 = **1**, CO4 = **1**	
7	**CO3, CO4**	CO3 = **1**, CO4 = **1**	
8	**CO5**	CO5 = **2**	

Part B – Short Essay Questions (5 marks)			
Question	**Course Outcome (CO)**	**Mark**	
9	**CO1**	CO1 = **5**	Q14 (Calculations): Likely allocated as 1.5-2 marks for calculating COGS, 1.5-2 marks for Gross Profit, and the remaining marks for Operating Profit, rewarding the correct application of formulas and accurate intermediate figures. Marks are allocated based on the number and quality of points discussed, the depth of explanation, and the structure of the answer. A typical breakdown might be 1.5 mark per distinct, well-explained point or argument (e.g., listing 4-5 key benefits and limitations).
10	**CO1**	CO1 = **5**	
11	**CO2**	CO2 = **5**	
12	**CO2**	CO2 =5	
13	**CO3, CO4**	CO3 = **2.5**, CO4 = **2.5**	
14	**CO5**	CO5 = **5**	

Part C – Essay Questions (20 marks)			
Question	**Course Outcome (CO)**	**Mark Split**	
15	**CO1**	CO1 = **20**	Marks are allocated based on the number and quality of points discussed, the depth of explanation, and the structure of the answer.
16	**CO3, CO4**	CO3 = **10**, CO4 = **10**	4–6 marks for correctly entering all cash transactions, including receipts and payments with correct amounts and sides. 4–5 marks for properly recording bank column entries, including deposits, withdrawals, and cheque transactions. 3–4 marks for correct balancing of both Cash and Bank columns, ensuring no wrong treatment (e.g., cash balance cannot be negative). 3–4 marks for correct narration/structure, proper format (date, particulars, L.F., amount columns), and overall accuracy. 2–3 marks for neatness, sequencing of dates, and accuracy of closing balances.
17	**CO3, CO4**	CO3 = **10**, CO4 = **10**	4–5 marks for correctly explaining the process of journalizing, including identifying accounts, applying rules, and preparing entries. 5-7marks for describing how entries are posted to respective ledger accounts, including debit/credit posting and cross-referencing.4-5 marks for explaining the importance of the Ledger Folio (L.F.), balancing ledger accounts, and writing totals.4-5 marks for clarity in presenting steps in sequence (e.g., source documents → journal → ledger).
18	**CO5**	CO5 = **20**	.6–7 marks for preparing a Trading Account, including Sales, COGS, and Gross Profit with proper format. 6–7 marks for preparing the Profit and Loss Account, including operating expenses, non-operating items, and accurate Net Profit. 6–7 marks for preparing a Balance Sheet, ensuring correct classification of assets, liabilities, capital adjustments, and incorporation of adjustments.

Expect a liberal approach in Valuation,

Scheme prepared by :
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